

ROBUST GROWTH PLANS FOR A SUCCESSFUL INDIAN MARKET JOURNEY IN THE NEXT 5 YEARS

Jai Krishnan, CEO of Samsonite India, shares how the luggage brand kept the wheels turning despite the pandemic, and the way forward.

Innovation with wheels is Samsonite India CEO Jai Krishnan's go-to term for the luggage brand. When the world traditionally carried horizontal suitcases, Samsonite turned its profile vertical and added wheels to pull the baggage instead of lugging the load. The next step was to add two additional spinning wheels, and the bag moved beside the owner. "Innovation is a tradition we've consistently had, and it's been a solid pillar of support," Krishnan reflects, talking about how taking risks had also enabled the brand to be a global and domestic market leader in its legacy of 113 years, even during the COVID-19 pandemic when travel was the first thing to come to a grinding halt.

To begin with, do throw some light on where Samsonite stands in the market today.

Samsonite is a 100-plus-year-old company, and we've been in India now for 26 years, starting with a factory in Nasik in 1997. In the mid-2000s, we launched American Tourister, which turns 90 this year. The pecking order is that Samsonite is the premium and number one brand, American Tourister comes second and then comes Kamiliant, the lower-end brand. There's hardly any competition for us, whether from bags for students to high to premium space, and I say this with humility.

When businesses are finding their bearings post-COVID-19 lockdown, Samsonite has grown over 109%, with a 50% increase in sales in 2022. What do you attribute this to?

The pandemic was a tough time when nobody travelled. But, thanks to India opening up rapidly and the spirit of the Indian traveller, business bounced back. As an organisation, we didn't do much work from home, and the minute the government said one could return to offices, across categories, we were one of the first teams to be in the market. We called it right that India would return quickly, and travel will become a more integral part of lives because of pent-up demand. It was up to which company could leverage it best, and we did.

The other thing is that through the pandemic, we continued investing in building the infrastructure, increasing capacities, and so on. We would have been one of the few companies that doubled capacities in 2021. We had land adjoining the present factory where we built another plant and added new machines. So, by the time normalcy hit, we were ready with enhanced capacity. We spent close to INR 150 crores, which was considered a risky move at the time but is said to be highly prudent now. When demand came back, and freight rates were high, smaller brands found operating difficult, but we did well.

What business strategy did you adopt in the initial phase of the pandemic?

The uncertainty was killing, and work from home becoming integral was bad news for a luggage company. In the early 2020s, we were losing money because we had to pay salaries, rent, etc., but there was no income. That was the first time we went promotional and gave discounts even though we would have sold less and should have focussed on making profit. But we owed it to our partners to ensure they could provide something to the consumer to encourage them to come in. That was the first stage of the growth game. So, we did a lot of good business, and our market shares at the time were high because nobody else was in the market like us.

Any changes from the brand perspective that helped?

Yes, we looked at all three ranges of our suitcases separately and thought about what more we could do. We relooked at the mother brand (Samsonite), took a reflective approach, and felt that not enough people who could afford it were buying it. So, we dived deeper and spoke to consumers — I interacted with 30 CEOs who have stuck to the brand for 15–20 years. We appointed a brand consultant who helped us refine these findings before creating a more distinctive and powerful positioning for the brand. We realised that consumers prefer Samsonite for its aesthetic engineering — great functionality with the most contemporary designs. So, we built most of our advertising ideas around that. We chose the 'Tested like Samsonite' campaign featuring journeys of famous personalities who have overcome challenges to become stronger — Amitabh Bachchan, Mithali Raj, and Yuvraj Singh. It turned out to be one of the best campaigns across categories.

What travel trends do you foresee that will give your business a boost?

One of the biggest trends is that quarterly holidays have increased. Instead of one long break, people are taking frequent multiple vacations in a year. Also, since Indians have become more confident and enterprising, the next three to four years would be a great time to do business in India. So, the luggage industry is poised to take maximum benefit out of India's growth as business travel booms. Students want to pursue different disciplines, and not everything will be available in India. They're willing to travel across the world and the country. Indians are discovering the country in terms of travel and experiences.

How does Samsonite plan to leverage the boom?

Besides the INR 150 Crore expansion, tenders have gone out to build on the second factory's land and put machines and assembly lines there. We made about 5.5 million luggage pieces last year; this year, we will make about 7–8 million, and the goal is to reach 10 million. Our on-ground sales and marketing teams are ensuring even that's not enough. We are working closely with our vendor partners and look at the next five years of great glory for the company in India.

We will continue to invest in American Tourister, too, as we shifted gears about seven years ago when Virat Kohli joined us as the brand ambassador. One will see another shift to build a new campaign with massive investments. These are just reflective of our confidence in the country.

